FRAMEWORK OF TREND PREDICTIVE TOOL

STEPS TO CREATE TOOL

1. Trend identification
    1. Social media, sales data, market analysis reports
    2. Identify which products are gaining popularity and determine the characteristics they share w/ Vans products
2. Alignment assessment
    1. Assessment of how closely Vans products align w/ current trends
    2. Classify alignment as High, Med, Low based on product characteristics (design, functionality...)
3. Impact analysis
    1. Predicted impact of the trend on sales volume, considering alignment and strength of product
    2. Use a simple decision matrix to predict the sales uplift (High impact: 20% sales increase, Medium: 10%, Low: negligible)
4. Assumption setting
    1. Input: Assumptions about product strength, marketing, and monetary support.
    2. Adjust levers based on trends strength and company's capacity
5. Actionable outputs
    1. Output: Specific recommendations based on the trend's impact and readiness
    2. Details: If alignment is high and the trend impact is strong, the tool might recommend increasing production, reallocation marketing budgets, or launching targeted promotional campaigns.

EXAMPLE SCENARIO: ADIDAS SAMBA TREND

- **Example Scenario: Adidas Samba Trend**
- **Trend Identified**: Low-profile, low-sole shoes are gaining popularity.
- **Alignment Assessment**: High (assuming you have similar products).
- **Impact Analysis**: Predict a 20% sales increase for aligned products.
- **Assumption Setting**: Assess that the product is strong, marketing can be quickly adapted, and funds are available for scaling up.
- **Output**: "Increase production of low-profile, low-sole shoes by 20%, shift 30% of the marketing budget to highlight these products, launch a social media campaign focusing on lifestyle imagery associated with this trend."

EXAMPLE SCENARIO ALTERNATE TAKE: INPUT TO OUTPUT

- “Cult kicks in simple colorways have continued to dictate the market -- with the Adidas Samba the shoe of 2023. While the sneaker entered 2024 with a 420% sell-out rate in Q1, it is guided by a 347% increase in new styles that have established ongoing availability worldwide.”
  - MIX OF QUANT AND QUAL

1. TREND IDENTIFICATION
2. ALIGNMENT ASSESSMENT
3. IMPACT ANALYSIS
4. ASSUMPTION SETTING
5. ACTIONABLE OUTPUTS

SO WHAT WILL THIS LOOK LIKE AS AN OUTPUT? FIRST WE MUST BREAK DOWN EACH STEP OF OUR FRAMEWORK

1. TREND IDENTIFICATION

Objective: Identify emerging market trends and quantify their impact

Actions:

Qualitative Analysis:

- Market Sentiment: Analyze social media, fashion blogs, and industry reports to identify trending products and styles.
- Case Study: “Cult kicks in simple colorways have continued to dictate the market – with the Adidas Samba the shoe of 2023.”

Quantitative Data:

- Sales Data: Track sales figures, such as 420% sell-out rate for Adidas Samba in Q1.
- Growth Metrics: Monitor the increase in new styles, e.g.. 347% increase in new styles available.

Output:

-Identified Trend: Simple colorway sneakers.

-Growth Metrics: Monitor the increase in new styles, e.g., 347% increase in new styles available.

The key is to simplify and pull out core info.

2. ALIGNMENT ASSESSMENT

1. Product Comparison:
   - Inventory Review: Check if Vans has low-profile, simple colorway sneakers similar to the Adidas Samba
   - Style Analysis: Evaluate the design elements and color schemes of Vans products.
2. Alignment Levels:
   - High Alignment: Vans has several similar styles that match the trend.
   - Medium Alignment: Vans has few styles that partially match the trend.
   - Low Alignment: Vans' primary styles differ significantly from the trend.

Output: **Alignment Rating: High Alignment (assuming Vans has similar styles).**

3. IMPACT ANALYSIS

Trend Impact Level:

- High Impact: Significant market shift (e.g. 420% sell-out rate).
- Medium Impact: Moderate market shift.
- Low Impact: Minimal market shift.

Sales Uplift Estimation:

Use a decision matrix to estimate sales increases:

- High Impact, High Alignment: Predicted sales increase of 20%-30%
- High Impact, Medium Alignment: Predicted sales increase of 10%-15%
- High Impact, Low Alignment: Minimal impact.

SALES UPLIFT ESTIMATION: DECISION MATRIX (IMPACT X ALIGNMENT)

	High Alignment	Medium Alignment	Low Alignment
High Impact	+20% to +30%	+10% to +15%	+5%
Medium Impact	+10% to +15%	+5% to +10%	Minimal
Low Impact	+5%	Minimal	No Change

4. ASSUMPTION SETTING

Objective: Set assumptions about the company's capabilities to leverage the trend.

AKA *Adjusting the levers.*

Actions:

1. Product Strength:
   - Qualitative: Assess the inherent appeal of Vans' products.
   - Quantitative: Review past sales performance and customer feedback.
2. Marketing Agility
   - Qualitative: Evaluate the flexibility of the marketing team to adapt campaigns.
   - Quantitative: Review financial statements to confirm available funds.
3. Monetary Support
   - Qualitative: Determine budget allocation priorities.
   - Quantitative: Review financial statements to confirm available funds.
4. Adjustments:
   - Increase production capacity for trend-aligned products.
   - Allocate additional marketing budget to promote these styles.
   - Develop targeted campaigns focusing on trend's attributes.

Output:

- Defined assumptions and action plans:
  - Production increase.
  - Marketing budget allocation.
  - Targeted campaign development.

5. ACTIONABLE OUTPUTS

- Objective: Provide specific, actionable recommendations based on the analysis.

Actions:

1. **Increase Production**:
    1. Ramp up production of low-profile, simple colorway sneakers by 25%.
    2. Monitor inventory levels and adjust as needed.
2. **Marketing Campaign**:
    1. Launch a targeted marketing campaign emphasizing simplicity and style.
    2. Use trend-related keywords and visuals to attract the target audience.
3. **Retail Strategy**:
    1. Ensure wide availability across all channels (DTC, Ecomm, Wholesale).
    2. Adjust store displays and online listings to highlight trend-aligned products.

- **Output:**
- Detailed Action Plan:
    - **Increase Production**: 25% increase in relevant product lines.
    - **Marketing Campaign**: Launch targeted campaigns.
    - **Retail Strategy**: Ensure wide product availability.


Trend Identification
"Identify emerging trends"
Cult kicks in simple colorways are highly popular.
Example: Adidas Samba
- 420% sell-out rate in Q1
- 347% increase in new styles
Alignment Assessment
"Assess product-trend alignment"
Vans has similar products (high alignment)
Impact Analysis
"Estimate potential sales uplift"
- High Impact (420% sell-out rate)
- Predicted sales increase: 20%-30%
Assumption Setting
"Adjust product and marketing levers"
- Strong product appeal
- Adaptable marketing
- Available budget
- Actions: Increase production, marketing, availability
Actionable Outputs
"Implement strategic actions"
- Increase production by 25%
- Launch targeted marketing campaign
- Ensure wide product availabili

SUMMARY